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REAL ESTATE FEATURES

Learning Outcome

- explain features and characteristics of real estate

Both individuals and institutions invest in real property: either in residential or commercial real estate. Residential real estate, or the housing market, consists of individual single-family detached homes and multi-family attached units, which share at least one wall with another unit, such as condominiums, cooperatives, townhouses, or terraced housing. Commercial real estate includes primarily office buildings, retail shopping centers, commercial and residential rental properties, and warehouses. In contrast to the owner-occupied market, rental properties are leased to tenants.

Residential real estate is by far the largest market sector by value and size. Savills World Research estimated in July 2018 that residential real estate accounted for more than 75% of global real estate values. Although the average value of a home is less than the average value of an office building, the aggregate space required to house people is much larger than that needed to accommodate office use and retail shopping.

Real Estate Investments

Real estate investments exhibit general similarities to and differences from traditional equity and debt classes. Real estate can be held privately or traded publicly through real estate investment trusts (REITs). Equity investment involves direct or indirect ownership with claims to residual cash flows from the property. Depending on the property investment, these cash flows can be variable or fixed. Debt investment typically involves direct mortgage lending from financial intermediaries, part of which then can be securitized and then traded through various types of mortgage-backed securities (MBS). The main features of residential and commercial real estate are shown in Exhibit 1.

Exhibit 1:

Main Features of Residential and Commercial Real Estate

	Residential real estate	Commercial real estate
Typical property	Owner-occupied, single residences; single-family residential property	Residential properties owned for lease or rental Office, retail, industrial, warehouse, hospitality, and mixed-use properties
Source of equity	Owners	Privately held by owners Publicly held through investors
Source of debt	Directly: Lenders (banks) through residential mortgages Indirectly: Investors in MBS that package residential mortgages	Directly: Lenders (banks) through commercial mortgages Indirectly: Investors in MBS that package commercial mortgages
Source of return to investors	Enjoyment of the property Price, or capital, appreciation	Income, or cash flow, generated by the property Price, or capital, appreciation

Real estate is uniquely different from other asset classes in several ways:

- The initial investment is typically large.

- There are multiple types of real estate investment alternatives available: direct and indirect investment options spanning the spectrum from relatively liquid investments in stable, income-producing properties to illiquid investments over a long development life cycle across the purchase, construction/upgrade, occupancy, and sales phases.
- Diversification across all different types of real estate investment alternatives may be difficult to attain.
- Private market indexes replicating the performance of real estate are not directly investable.

Additionally, the price discovery process in the private real estate markets is opaque, for multiple reasons:

- Historical prices may not reflect prevailing market conditions.
- Transaction costs are typically high. Buying and selling real estate can be a time-consuming process, involving real estate professionals, banks, lawyers, and others needed to facilitate these transactions.
- Transaction activity may be limited in certain markets due to either supply or demand conditions.

Because of distinct and unique features—geographic location and potential uses—real estate markets are typically fragmented, with the local demand and supply conditions determining the value of the property. Consequently, the heterogeneity unique to real estate demands specialized skills. Selecting, valuing, acquiring, managing, and divesting a real estate portfolio is often more complicated than managing a portfolio made up of listed corporate debt and equity.

Real Estate Investment Structures

Real estate investments take on a variety of public and private forms across equity and debt capital alternatives, as summarized in Exhibit 2.

Exhibit 2:

Selected Forms of Real Estate Investment

	Debt	Equity
Private	Mortgage debt Construction loans Mezzanine debt	**Direct ownership** Sole ownership **Indirect Ownership** Joint ventures Limited partnerships Real estate funds Private REITs
Public	MBS/CMBS/CMOs Covered bonds Mortgage REITs Mortgage ETFs	**Publicly traded shares** Construction Operating Development Public REITs UCITS/Mutual funds/ETFs

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owner(s) unencumbered by any financing liens, such as from outstanding mortgages. Initial purchase expenses associated with direct ownership may include legal expenses, survey costs, engineering/environmental studies, and valuation (appraisal) fees. There are distinct advantages to owning real estate directly for property investors:

- *Control.* Only the owner can decide when to buy or sell, when and how much to spend on capital projects, whom to select as tenants based on credit quality preference and tenant mix, and what types of lease terms to offer. Owners generate cash flow returns from the use and enjoyment of the property, the receipt of lease payments, and the potential for capital appreciation.
- *Tax benefits.* The owners can reduce their taxable income using non-cash property depreciation expenses and tax-deductible interest expenses.
- *Diversification.* Historically, real estate has exhibited low correlation with other asset classes, and adding real estate to a portfolio has been demonstrated to increase portfolio diversification and reduce portfolio risk.

There are also disadvantages to investing directly in property:

- *Complexity.* The owners need to dedicate time to manage the property. Making the purchase itself is more complicated as well, with requirements including property selection, negotiating terms, performing due diligence, title search, contract review, and property inspection.
- *Need for specialized knowledge.* The owners need to understand both general and local market characteristics, which requires local market knowledge.
- *Significant capital needs.* The owners need to have access to a potentially significant amount of debt and equity capital because of the large initial capital outlay needed for real estate investments.
- *Concentration risk.* Owners, particularly smaller investors, cannot create a well-diversified real estate portfolio through direct investment.
- *Lack of liquidity.* It is typically difficult to quickly buy or sell direct investments in real estate, and transaction costs are typically high.

Real estate investors may choose to handle all aspects of investing in and operating the property internally. However, commercial real estate investors often hire advisers to identify investments, negotiate acquisition and lease terms, perform due diligence, conduct real estate operations, and assist with the eventual disposal. Institutional investors that hire advisers or managers to manage their direct real estate investment can also use a separate account structure that allows the investor to control the timing and value of acquisitions and dispositions.

Owners can also borrow from mortgage lenders to fund the acquisition. Additional debt closing costs are incurred when owners take out loans to fund their investments.

Indirect Real Estate Investment

Indirect investment in real estate pools assets from different investors to acquire one or several properties; here the exposure is indirect through a variety of investment vehicles. These can be public or private, such as limited partnerships, mutual funds, equities, REITs, and exchange-traded funds (ETFs). Sometimes investors form joint ventures with other investors to invest in real estate. Joint ventures are especially common when one party can uniquely contribute something of value, such as land, capital, development expertise, debt due diligence, or entrepreneurial talent.

Tax-advantaged trusts that own, operate, and sometimes develop income-producing real estate property are known as real estate investment trusts. Their structure is shown in Exhibit 3. There are three main forms of REIT: equity REITs, which invest in properties outright or through partnerships and joint ventures; mortgage REITs, which underwrite

Exhibit 3:

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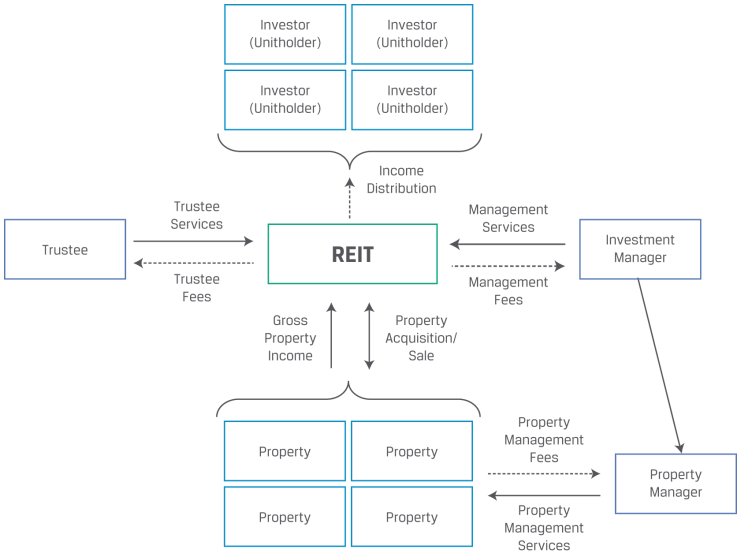
Real Estate Investment Trust Structure



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REITs are the preferred investment vehicles for owning income-producing real estate for both private and public investors. The main appeal of the REIT structure is the elimination of double corporate taxation. Corporations pay taxes on their income, from which they make dividend distribution to their owners from after-tax earnings. The shareholders, in turn, are taxed at their personal tax rate. REITs can avoid corporate income taxation by distributing dividends equal to 90%–100% of taxable net rental income.

The business strategy for equity REITs is simple: Maximize property occupancy rates and rents while minimizing ongoing operating and maintenance expenses to maximize cash income and dividends. REITs are a popular investment vehicle both in the United States, where they originated, and in other countries. REITs and REIT-like structures have similar legal and taxation structures and provide unique tax advantages to investors and the corporate entity.

Equity REITs, like other public companies, must report earnings per share based on net income as defined by generally accepted accounting principles (GAAP) or International Financial Reporting Standards (IFRS). Many report non-traditional measures, such as net asset value or variations of gross cash flow, such as funds from operations (FFO), which makes adjustments for depreciation, distributions, and preferred dividends, to better estimate future dividends, because non-cash depreciation expenses can be high for asset-intensive businesses.

These publicly traded REITs address many of the disadvantages related to private real estate investing. These REITs provide investors with greater transparency. Additionally, a REIT investor only needs to buy or sell REIT shares instead of buying or selling real estate directly. The REIT is not forced to sell the company's underlying real estate like open-end funds experiencing mass redemptions. Finally, REITs have the know-how to manage the properties in order to align the interests of the REIT with those of its investors. However, a disadvantage of REITs is their higher correlation with the public equity markets when compared to private real estate.

EXAMPLE 1

Luxury Dreams REIT

underlying properties from the inclusion of properties, and active management of the properties, at generally lower volatility because of its focus on high-end real estate.

The REIT invests at least 75% of assets in high-end residential properties and up to 25% of assets in privately held, real estate-related securities, mortgage debt, and cash. The REIT is capped at USD5 billion. Because this REIT is not traded publicly, shares in the trust can be redeemed at the end of each month at a price equal to the prior month's net asset value (NAV) per share in increments of USD10,000. NAV per share is determined at the end of each month and is released to holders within 15 business days after the end of the month. Each shareholder is limited to transact 2% of the total NAV per month and 5% of NAV per quarter.

REITs and other private real estate funds are structured as infinite-life, open-end funds and allow investors to contribute or redeem capital throughout the life of the fund in a fashion parallel to mutual fund structures. Open-end funds generally offer exposure to well-leased, high-quality commercial and residential real estate in the best markets, also called **core real estate strategies**. Investors expect core real estate to deliver stable returns, primarily from income from the property.

Investors seeking higher returns may also accept additional risks from development, redevelopment, repositioning, and leasing. For such opportunistic investment preferences, finite-life, closed-end funds are more commonly used. Investors may focus on **core-plus real estate strategies**, value-add investments that require modest redevelopment or upgrades to lease any vacant space together with possible alternative use of the underlying properties. To earn higher returns, investors may engage in **value-add real estate strategies**, such as larger-scale redevelopment and repositioning of existing assets. The most **opportunistic real estate strategies** include major redevelopment, repurposing of assets, taking on large vacancies, or speculating on significant improvement in market conditions.

Mortgage REITs and hybrid REITs invest in real estate debt, typically MBS (covered elsewhere in the curriculum. These debt REITs can be both private and publicly traded funds.

Question Set

1. True or false: The distinct and unique features of real estate make managing a real estate portfolio less complex than managing a portfolio of listed corporate bonds.

Hide Solution

Solution:

False. Selecting, valuing, acquiring, managing, and divesting a real estate portfolio is often more complicated than managing a portfolio made up of listed corporate debt. The heterogeneity unique to real estate demands specialized skills, and real estate markets are typically fragmented, with the local demand and supply conditions determining the value of the property.

2. The largest sector of the real estate market is:

A. residential real estate.
B. real estate investment trusts.
C. publicly traded mortgage-backed securities.

Hide Solution

Solution:

3. Describe the business strategy for equity REITs.

Hide Solution

Solution:

The business strategy for equity REITs is to maximize property occupancy rates and rents while minimizing ongoing operating and maintenance expenses to maximize cash income and dividends.

4. When a property title that is transferred to a new owner is unencumbered by any financing liens, such as from outstanding mortgages, the new ownership is considered:

A. privately held.
B. free and clear.
C. direct equity ownership.

Hide Solution

Solution:

The correct answer is B. “Free and clear” refers to the lack of any financing liens on a purchased property. If a direct private investor purchases a property and receives a title that is unencumbered by any financing liens, that ownership is considered free and clear.

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